

Alphabet Inc.

GOOGL NASDAQ

Buy	\$341.33 ▲ 1.25%	12M Price Target \$385.00	52-Week Range \$226.11 – \$408.61	Market Cap \$4.17T
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GOOGL: Antitrust Cloud Lifts, Ad-Tech Business Stays Intact

WHAT HAPPENED

- Big deal overnight: a judge ruled Google does NOT have to sell off its ad exchange in the ad-tech monopoly case. That's why the stock is bouncing — the market had been pricing in a possible forced breakup of a business that generates tens of billions in ad revenue. This removes a massive overhang.
- Broader tape is ripping too — Dow up 600 points on a dovish Fed signal (meaning the Fed hinted rate cuts are coming), which lifts all mega-cap tech. Nvidia buying Hugging Face for \$13B is a reminder that the AI arms race is still red hot, and Google's DeepMind + Gemini are core assets in that race.

WHY IT MATTERS

The ad-tech ruling is bigger than the 1.25% move suggests — the market had been slapping a "breakup discount" on GOOGL for over a year, and now that discount should slowly bleed out of the stock. Translation: multiple expansion (investors willing to pay more per dollar of earnings) is likely coming, even without any change to the underlying business. The DOJ can still appeal, but the immediate structural threat is gone, which frees Alphabet to keep integrating its ad stack with AI-driven targeting — a competitive moat that's actually widening. Combine that with a Fed pivot toward rate cuts (cheaper money = higher valuations for growth stocks), and you have two tailwinds hitting at once.

POLICY & POLITICAL WATCH

The regulatory environment for Big Tech is quietly getting friendlier — the ad-tech ruling follows a pattern where courts are pushing back on aggressive DOJ remedies, and the current administration has signaled it wants US tech giants to WIN the AI race against China, not get hamstrung by domestic lawsuits. Watch two things: (1) any movement on the federal AI framework bill being discussed in the Senate — if it preempts a patchwork of state AI laws (like California's), that's a huge win for Google Cloud and Gemini. (2) EU Digital Markets Act enforcement — Europe is where the real regulatory pain still lives, and any new fines or forced changes to Search there could offset US wins.

IS IT EXPENSIVE?

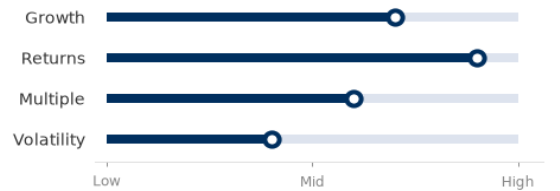
At ~\$341, GOOGL trades around 30x forward earnings — meaning investors pay \$30 for every \$1 the company is expected to earn next year. That's a premium to the S&P but a DISCOUNT to Microsoft (~34x) and Meta (~28x with less diversification), which is weird given Alphabet's Search + YouTube + Cloud + Waymo optionality. The antitrust discount coming off could easily add 3-5 turns of multiple (i.e., push it to 33-35x), which is basically the path to \$385.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$341.33
12M Price Target	\$385.00
Upside / (Downside)	+12.8%
Market Cap	\$4.17T
FY2026E Revenue	\$415M
FY2027E Revenue	\$465M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$348.00	\$325.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$430.00	\$275.00
5 Years	\$700.00	\$550.00	\$320.00
10 Years	\$1100.00	\$800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+1.69%) and Financials (+1.31%) leading — classic "Fed is cutting rates" trade, because cheaper money helps consumers spend and banks lend more. Comm Services (where GOOGL lives) is up modestly but has been the best 5-day performer (+1.67%), suggesting money was already rotating in.

COOLING OFF: Technology is up today but DOWN 1.56% over 5 days — the pure-AI-hardware trade is taking a breather while software/platform names like GOOGL and META catch a bid.

ROTATION WATCH: Money is rotating from "AI picks and shovels" (Nvidia, semis) into "AI monetizers" (Google, Meta) — investors want to see who actually makes money FROM AI, not just who sells the chips. That's a direct tailwind for GOOGL.

RELATED PLAY: If the antitrust environment is loosening across Big Tech, META is the second-order beneficiary — they face similar cases and the read-through is positive. Data center REITs like EQIX also win from Alphabet's continued capex commitment.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): New AI catalyst per the news flow — same "AI monetizer" thesis, and benefits from the same antitrust tailwind read-through.
- NVDA (Nvidia): Hugging Face acquisition solidifies its dominance in the AI dev ecosystem — but this is a competitive threat to Google Cloud's Vertex AI platform long-term.

GOOGL CONTEXT: GOOGL is LAGGING the Comm Services sector today (+1.25% vs +0.75% sector but META likely leading) — but that's because it had already run hard into this ruling. The bigger tell is that it's holding above \$340 and only 16% off its 52-week high, meaning bulls are in control. If it breaks \$350 with volume, next stop is likely \$365.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$335 or below on tech pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Search revenue declines >5% YoY (AI cannibalization) or DOJ appeals ad-tech ruling successfully

Hedging: Small put spread on QQQ or pair against a pricier AI name like NVDA